Subject: Article 56 - Prudent Investor Rule
From: Stephen Harrington <sth.alist@gmail.com>
Date: 5/3/24, 12:37
To: Greg Christiana <gchristiana@town.arlington.ma.us>

tl;dr **Vote NO on Article 56 and support the *two* Finance Committee recommended votes of NO Action**.

Reasons

- Arlington lacks the people, processes and policies in place today to act as a prudent investor.
- Responsibilities of the various, necessary roles among Town employees and trustees are ambiguous and trustee liabilities not well understood.
- All Trustees need to be the sponsors/proponents for Warrant Article 56 and not the Town Manager or Treasurer or one Trustee or Board.
- The current legal list provides the best possible prudent investment for Arlington Trust Funds that seek income today; the stated objective of the library trustees.
- Only the Board of Commissioners may be on record voting for Article 56; no mention of a vote from the library trustees or cemetery commissioners at the 4 recorded public hearings.
- The responsibility for being the "prudent investor" can not be delegated by the trustees to the Town Manager, Town Treasurer, Rockland Trust, or other town employee.

Background - What is a "Prudent Investor"?

What's the Problem?

Some trustees seek total return, others, reportedly, seek income. The current asset allocation is 60+% equity comprised of 22 dividend paying "blue chip" stocks yielding 3% in a 5.5% money market interest rate environment recently satisfying neither.

Why do you care?

Inexperienced trustees, operating in an environment without understanding their responsibilities, and who make decisions based on political expediency, *always* lose money.

Some nomenclature.

- A **trustee** is an individual person or member of a board given control or powers of administration of property in trust with a legal obligation to administer it solely for the purposes specified.
- A **custodian** insures safekeeping of assets, reviews statements, reconciles reports, initiates all cash transfers and books all income. There can be multiple custodians serving various record keeping and cash management functions.
- An **investment professional** (IP) is supervised by an investment company or **investment advisor** (IA). For example, when you call Fidelity - an investment company - you probably talk to a sales representative - a licensed investment professional - that Fidelity supervises through a comprehensive, and fully audited, legal, compliance, trade restrictions and disclosures regime.

Of these:

- Custodians are not held to the prudent investor standard.
- Investment professionals are generally not held to the prudent investor standard.
- Investment Advisors (IA) are held to the prudent investor standard.
- Trustees are held to the prudent investor standard.

In context of Arlington and Article 56:

- The Treasurer is one of the custodians of Arlington's Trust Funds; note in MGL Ch44 s54 (*Cities and towns having such funds in the **custody** of the treasurer*).
- Rockland Trust is an investment company that employs many investment professionals and also acts as custodian (and/or outsources asset custody again) of Arlington's Trust Funds.
- The Board of Commissioners of Trust Funds, the Cemetery Commissioners and the Library Trustees are the trustees of Arlington's Trust Funds.

The Board of Commissioners of Trust Funds website states that the Cemetery Trusts and notably the Library Trust Fund are not under their purview.

Everyone involved has varying levels of fiduciary responsibility independent of the prudent investor standard.

None of the Trustees, town employees involved or members of the Finance Committee are registered on the SEC Investment Adviser info website. This calls into question the level of experience and independent advice trustees have access to.

I had a charming conversation with Augusta Haydock, chair of the Board of Commissioners of Trust Funds. I think I could trust Augusta's judgement with trust funds. As a retired investment professional, Augusta has some credentials for being a trustee under the prudent investor standard. But Augusta is one person out of the 20 or so trustees/employees involved. Augusta does not speak for the Library or Cemetery Trustees.

The Library Trustees held no formal vote of approval for Article 56, as their minutes from March 12 record.

I do now know if the Cemetery Trustees are even aware of the changes from Article 56.

Trust Fund Details

There are ~88 Trust Funds that might be impacted by Article 56 with a 2023 year end value of about $28.5M.

I have attached the Treasurer's report from Rockland Trust detailing the trust fund balances, asset allocation, principal restrictions, fund performance and other investment management details as well as a spreadsheet of the individual fund restrictions and balances. As of May 3, the materials attached here were not in novus agenda for any of the FinCom 3/13, 4/24 meetings nor for the Board of Selectmen meetings on 3/4 and 4/8 when Article 56 was discussed; see generated transcripts for more details. As well, the Trust Fund management reports are not available in the "annotated" Town Meeting agenda.

An informed Town Meeting member might note the 7.8% return of the Trust Funds in the latest Rockland report; not a bad return for adhering to the Legal List of boring investments. A reasonable return for Trust Funds with some trustees seeking income and others seeking total return.

A good investment practice is to make annual reports easily available online.

Details - Public Record

At the March 4 Selectmen meeting, a unanimous vote for Article 56 was taken which is the only vote in front of Town Meeting. The Town Manager is the sponsor and the Town Treasurer Julie Wyman is the presenter.

Strike 1. Why are the various Trustees, those held to the prudent investor standard, not the sponsors for Warrant Article 56?

The Board of Selectmen voted on March 4 to approve Article 56 in a brief hearing, see relevant comments noted below.

Note, that chair Eric Helmuth makes the comments "***Sounds like a good rule.***", "***Well, who doesn't like prudent investments?***", followed by John Hurd's "***hopefully we're not imprudently investing our trust funds right now***", which all employ the common use of the word prudent.

Diane Mahon asks the pertinent question, the difference between the list of authorized investments today, the "narrow list", and what investments will be allowed under this rule; the "narrow list" is found on the state website (List of Legal Investments). Note how conservative MGL defines legal investments for Trust Funds and other municipal funds.

Julie Wyman does address the change in more specific terms: " ***library commissioners ... asking about a little bit more, a little more risk, you know, looking to bring in a little bit more, you know, a little bit more in their funds, seeing a little bit more revenue***."

That was the extent of the Board Hearing after which they voted to approve unanimously.

On March 18, the Finance Committee unanimously voted "No Action" concerned with rushing new state legislation (available since August, 2023) without additional oversight and an updated investment policy.

On April 8, the Selectmen discussed Article 56 again. You may note that the Town Manager during the 4/8 Selectmen hearing did not understand that the 22 equities on the legal list, dividend paying (~3%) blue chip stocks, under performed during the past year when compared to a 5.5% money market fund interest rate environment. Apparently, neither do the library trustees.

On April 24, the Finance Committee re-voted "No Action" after the Selectmen meeting and a "compromise" proposed by the Town Manager.

Strike 2 The legal list provides the best possible prudent investments for Arlington Trust Funds that seek income today; the stated objective of the library trustees.

The legal list authorizes investments in cash, cash equivalents, money market funds, short term treasuries, blue chip **dividend paying** stocks, etc. These are considered the prudent investments for anyone who is not an investment professional or adviser or has little professional investment experience. Taking more risk means changing the investment objective of the Trust Fund to a more risk tolerant profile.

Board of Commissioners of Trust Funds chair Augusta Haydock attended the April 8 Selectmen meeting, after the FinCom voted No Action on Article 56 until the Town creates an "Investment Policy" and implements "further oversight added".

Strike 2. Why were the other Trustees of Trust Funds (library trustees, cemetery

commissioners) not on record for assuming greater risk?

The Selectmen, Manager and Counsel all stated that adopting 203C does not necessarily imply that the Trustees (or Treasurer, or Rockland, or someone) would necessarily take more risk with assurances that such changes won't happen until after the FinCom's policy update and oversight is established. However, that contradicts Augusta Haydock's statement that she, as trustee, has wanted to take a higher level of risk, since at least the year 2020.

Arlington's position of Treasurer, as far as I can tell, is the *custodian* of the Trust Funds, and not the trustee, not the person(s) who must act as a "prudent investor".

Strike 3. The responsibility for being the "prudent investor" can not be delegated.

Have any of you actually looked at MGL 203C? Section 3 enumerates the duties of the trustees, which is fairly substantial, and much more than what is required today to be a trustee for Arlington's Trust Funds. Only fools would offer to take personal liability for $28M in Trust Funds for little ($5K) or nothing.

Arlington needs an investment committee to advise the Trustees, Treasurer and other non-investment professionals what actions to take and help establish proper oversight and investment policies. Larger funds engage firms like Cambridge Associates, Russell, etc. to advise on these duties as well as assist in manager selection.

Rockland Trust

Some might argue that Rockland Trust, an SEC registered investment advisor, manages the investment portfolio. Navigate to Rockland Trust's government services page and note:

> *Rockland Trust's Government Banking department is dedicated to upholding our company motto of "Where Each Relationship Matters" by matching each public entity with the right solutions to meet their fiduciary responsibilities.*

"public entity" ... "fiduciary responsibilities"

The public entity fiduciary (trustee) agrees to a higher level of risk, Rockland Trust can dial any type of risk in an investment portfolio. The trustees decide that level of risk partly through their investment policies. Rockland Trust is not the prudent investor of Arlington's Trust Funds.

Adopting Article 56, while there is *no* one in the loop who has operated as a prudent investor is a recipe for uncompensated risk and potential unnecessary, and completely avoidable, losses. As the Finance Committee repeatedly pointed out, there is no reason to rush this newly minted piece of state legislation.

History

Taking more risk in Trust Funds comes up from time to time, past Treasurers were pressured to operate under the prudent investor standard. I remember well, when some of the current Town Meeting members and Selectmen pressured former Treasurer Steve Gilligan to take more risk in certain funds under his control.

This was in May of 2008.

If you don't know what happened next or you were one of the TMMs pushing for more risk in Town funds in May of 2008 (we have the Arlington List postings....) please, abstain from voting on Article 56.

I actually support having a better universe of investments to chose from, and a total return risk tolerance makes a lot of sense, and someday Arlington should consider adopting 203C, but the current deficiencies in people, processes and policies does not support adoption of 203C at this time.

Vote NO on Article 56, it is the prudent thing to do.

Stephen Harrington

Attachments:

Trust Funds as of Dec 31, 2023.xlsx	66.0 KB
Rockland Trust Fund. Prudent Investor Combined Meeting Reports January - March 2024.pdf	4.4 MB